Customs revenues were also revised downwards from Rs 1.38 lakh crore in the budget estimates to Rs 1.12 lakh crore in the revised estimates. GST revenues were reduced from Rs 6.91 lakh crore to Rs 5.15 lakh crore. The only tax revenue source of consequence receiving a leg-up was excise revenues. Gross tax receipts from excise duties (including road and infrastructure cess and the newly introduced agriculture development and infrastructure cess) rose from budget estimates of Rs 2.67 lakh crore to Rs 3.61 lakh crore. Compared to the previous year, the revised estimates of gross tax revenues from excise duties would be much higher than the actual receipts of Rs 2.41 lakh crore.

2021–22: Government Continues to be Quite Cautious

Tax revenue receipts for the Centre have been estimated at Rs 15.45 lakh crore for financial year 2021–22 as against the budget estimate of Rs 16.36 lakh crore. Tax revenue estimates for financial year 2021–22 are only Rs 1.88 lakh crore higher than the actual net tax revenues of the Centre for financial year 2019–20. The Central government, in a way, is estimating its tax revenue to go up by only 13.85 per cent compared to the actual tax revenue collected two years before. As the underestimated revised estimates of financial year 2020–21 are somewhat lower (Rs 2.01 lakh crore) than the actual tax revenues collected in 2019–20 (Rs 1.88 lakh crore), estimated tax revenues for financial year 2021–22 are expected to grow by 14.94 per cent over the revised estimates. If the Centre’s actual tax revenues were to come to Rs 15 lakh crore for 2020–21, the asking rate of growth for the year would be only 3 per cent.

The government expects gross tax revenues from CGST to bounce back in financial year 2021–22 (an estimated Rs 6.66 lakh crore against RE of Rs 5.15 lakh crore). It also expects customs tax revenues to rise (from Rs 1.12 lakh crore in RE to Rs 1.36 lakh crore). Excise revenue estimates have been moderated somewhat (Rs 3.35 lakh crore compared to Rs 3.61 lakh crore)